VILLAGE OF
PLEASANT
PRAIRIE

Office of the Community Development
Director
Rob Hanson

VIA EMAIL

August 25, 2026

Mr. Jason Lueders
Zilber Property Group
710 N Plankinton Ave.
Milwaukee WI 53203

Dear Mr. Lueders:

The purpose of this letter is to inform you that on August 24, 2026 that the Village Board conditionally approved the **Development Agreement** associated with potential development of three properties within TID #12; and a **Certified Survey Map and associated public improvement plans** for the extension of municipal water adjacent to STH 31 associated with the industrial development on the property located at the southwest corner of STH 31 and 108th Street in LakeView Corporate Park (Tax Parcel Number 92-4-122-272-0502). This approval was granted subject to the following comments and conditions:

Comments:

Development Agreement: The Development Agreement is associated with three separate properties owned by the Developer TI Investors of Pleasant Prairie Holdings Company LLC within TID 12 (TPN's: 92-4-122-272-0502, 92-4-122-321-0165, 92-4-122-281-0230 and 92-4-122-281-0260). The Developer intends to develop the properties in three (3) Phases to include the construction of up to four (4) small to mid-sized industrial facilities with the flexibility to accommodate a mix of manufacturing and distribution-oriented businesses and related infrastructure including grading and sitework and the construction/extension of utilities to serve these facilities.

The Preliminary Development Plans for each phase generally includes future industrial buildings that are subject to Village approval of Site and Operational Plan approval prior to any site/building development associated with this agreement. The Site and Operational Plans for Phase A, proposed on TPN: 92-4-122-272-0502 was conditionally approved by the Plan Commission on August 17, 2026.

TIF Request and Incentive Details: The Development Agreement specifies Developer and Village Obligations associated with three independent phases, each with its own property, Municipal Revenue Obligation, assessed value guarantee and payment schedule. The agreement also gives the developer flexibility in the order of the later phases while establishing deadlines. The Village worked with Ehlers and Hilltop Securities to evaluate the TIF application and found that the developer's request was reasonable.

Phase A is associated with Parcel 92-4-122-272-0502 and consists of the development of one industrial building. Upon substantial completion, $654,462 paid through annual payments by increment of the development for 12 years. The project must reach substantial completion by January 1, 2028, to avoid payment penalties. *Note: On August 17, 2026 the Plan Commission conditionally approved the Site and Operational Plans for the construction of a 152,334 square foot speculative industrial building on this property.*

Phase B consists of the development of up to two industrial buildings and associated private infrastructure on the Phase B property (92-4-122-321-0165). Upon substantial completion, the Village will issue a Municipal Revenue Obligation (MRO) in an amount not to exceed $1,682,899, plus 5% interest, payable over a 12-year period solely from the tax increment generated by the Phase B property after administrative costs. The Developer guarantees a minimum assessed value of $22,838,000, and annual MRO payments may be withheld if the guaranteed value is not maintained. The Developer may elect to construct Phase B as either the second or third phase of the project, subject to the development schedule established in the Agreement.

Phase C consists of the development of one industrial building and associated private infrastructure on the Phase C properties (92-4-122-281-0230, and 92-4-122-281-0260). Upon substantial completion, the Village will issue a Municipal Revenue Obligation (MRO) in an amount not to exceed $1,162,639, plus 5% interest, payable over a 12-year period solely from the tax increment generated by the Phase C property after administrative costs. The Developer guarantees a minimum assessed value of $17,480,000, and annual MRO payments may be withheld if the guaranteed value is not maintained. Prior to construction, the Developer is required to consolidate the two parcels into a single parcel. Phase C may be developed as either the second or third phase, consistent with the sequencing provisions of the Development Agreement. Each phase stands on its own financially, and incentives are only earned after construction is substantially complete.

The maximum total Village incentive across all three Phases is $3,500,000 or approximately 35% of the total projected increment. Across all Phases, approximately 685,000 square feet of new industrial is proposed to be constructed, and 350 new jobs could be created as a result.

Certified Survey Map and Public Improvement Plans associated with TPN 92-4-122-272-0502, referenced as Phase A of the Development Agreement: In addition to the Site and Operational Plans for Phase A, Municipal Water is required to be extended south along the east property line (adjacent to STH 31) in an easement on the property pursuant to the public improvement plans.

The CSM dedicates additional right-of-way on 108th Street; a Private Stormwater Easement (for the private onsite retention pond and associated drainage facilities); and a Public Utility Easement (for the public water main). In addition, the CSM shows and describes the locations of the field delineated wetlands (excluding any wetlands being filled as approved by the WI DNR and ACOE) and the Floodplain (based on the conditionally approved floodplain boundary adjustment) for information purposes; however, these areas will not be located within preservation and protection easements. Wetlands and floodplains are protected by Village Ordinance and State and Federal requirements.

The wetlands on the property were originally field delineated by Wetland & Waterway Consulting, LLC in April 2016 and re-delineated on April 8, 2026 by a WI DNR Assured Biologist with LANDCO$_2$. Some of the wetlands on the site are intended to be filled to allow for construction of the building and site improvements. The WI DNR has determined that an old sedimentation basin is exempt from wetland regulations and had issued a fill permit on September 23, 2022, which expired on September 26, 2025, to fill some of the wetlands on the property. The ACOE also issued a wetland fill permit on October 26, 2022, which expired on December 3, 2025. Valid wetland fill permits/approvals are required to be submitted from the WI DNR and AOCE prior to issuance of any permits.

As part of the development, a floodplain boundary adjustment pursuant to Village Board Resolution #20-08, adopted by the Village Board on February 17, 2020 is still proposed to be completed. The floodplain boundary adjustment allows for the filling of approximately 256 cubic yards of floodplain and creating approximately 1,347 cubic yards of floodplain. On December 22, 2020, FEMA issued Conditional Letter of Map Revision (CLOMR 20-05-3166R); however, the required Village permits to complete the floodplain boundary adjustment have not been submitted and no filling has been completed to date. In 2024, the Village adopted a new Floodplain Zoning Ordinance (Chapter 430) which will also require the issuance of a Floodplain Development Permit

with the required Village Erosion Control Permit prior to work commencing related to the floodplain boundary adjustment.

When the floodplain adjustment work is completed an as-built drawing with calculations shall be provided to the Village for review prior to submitting to FEMA and obtaining a Letter of Map Revision (LOMR). In addition, a CAD drawing and pdf plan that clearly illustrates the floodplain boundaries (prior to the adjustment) and the floodplain as amended shall be submitted with the required as-built drawing associated with the floodplain boundary adjustment to be used for the required notice to amend the Ordinance.

The required Comprehensive Plan, Zoning Map Amendment and Floodplain Zoning Ordinance Amendments related to the wetlands remaining on the property after the filling and the floodplain boundary adjusted areas will be considered by the Plan Commission and Village Board when the final FEMA approval is obtained related to the floodplain boundary adjustment.

Conditions:

1. See ***attached*** dedication and covenant language to the added to the CSM. A revised pdf CSM shall be submitted for final staff review. Upon review of the CSM, the original executed CSM shall be provided to the Village.
2. The ***attached*** Storm Water Maintenance Agreement associated with Lot 1 of the CSM shall be finalized, executed and recorded prior to issuance of any permits for this project (water main extension and development of the site). Exhibit B shall be provided to the Village for review. ***Attached*** is an example of what is required for Exhibit B
3. See ***attached*** comments from the Village Engineering Department dated August 11, 2026 related to the public improvement plans and specifications. A revised pdf of the plans and project manual shall be provided to the Village for final staff review and approval.
4. The ***attached*** draft Development Agreement and all required exhibits shall be finalized, and financial security provided to the Village prior to the issuance of any permits for the development of the site pursuant to the Site and Operational Plan and construction of the watermain for Lot 1 of the proposed CSM. *Pursuant to the Development Agreement the water main shall be installed, inspected and accepted by the Village by November 15, 2027.*
5. All taxes and special assessments shall be paid in full prior to recording the CSM. Pursuant to the Village Finance Department there are not outstanding taxes or special assessments.
6. Upon Village approval of the Engineering Plans, Profiles and Specifications for the public water main then
    a. The Village will request approval from the Kenosha Water Utility (KWU).
    b. Upon approval from KWU, the Developer shall obtain written approval/permits from the WI DNR prior to construction of the watermain. *Note: The required KWU and WI DNR approvals are required to be submitted prior to the installation of the municipal water.*
    c. The Developer shall submit draft contracts, bid documents and certificate of insurance shall be submitted to the Village for review to ensure that items are appropriately itemized for financial security.

       The contracts shall have the Developer's name as shown on the title of the property. The contractor's certificates of insurance shall also list the Village of Pleasant Prairie as an insured party.

       Upon Village approval of the contracts a copy of the signed contracts, certificates of insurance for the required public improvements.

d. The Developer shall submit a Cost Estimate for Construction Management (field staking, as-builts and record drawings) from Pinnacle Engineering Group

7. Upon Village approval of the contracts and cost estimate from Pinnacle Engineering Group, then Village will prepare an Itemized Cost Breakdown Exhibit to determine the amount of the required financial security (120% of the total cost of public improvements, inspections and other construction related services pursuant to Section 395-17 of the Village Municipal Code); and any required the cash payments. If a Letter of Credit (LOC) is proposed for the financial security, then a "draft" LOC shall be provided to the Village for staff review. The cash payments and the "Final" financial security shall be provided prior to the Village at the closing.

8. ***Upon staff review and approval of the revised CSM, Public Improvement Plans and contracts/certificate of insurance, then the Development Agreement will be finalized, and the Village will schedule a closing with the Developer for the following documents to be executed and the financial security to be provided to the Village.***

   a. Development Agreement including the Tax Agreements (Exhibits C1, C2 and C3 of the Development Agreement)

   b. Memorandum of Development Agreement

   c. Stormwater Management Agreement

9. After the closing with the Village, the Village will release the following final executed documents for recording at the Kenosha County Register of Deedes Office. These documents shall be recorded in the order listed below and a recorded copy of these documents shall be provided to the Village within 72 hours of recording. These documents are required to be recorded prior to issuance of any permits for the watermain extension and site development of Lot 1 of the proposed CSM.

   a. Memorandum of Development Agreement.

   b. Tax Agreements (Exhibits C1, C2 and C3 of the Development Agreement).

   c. Certified Survey Map.

   d. Stormwater Maintenance Agreement for the stormwater retention facility on the development site.

10. Upon approval/permits from KWU and the DNR, then the following then the following shall be submitted:

   a. A draft Preconstruction Agenda, Site Logistics Plan and Construction Schedule for review with the revised Site and Operational Plans. See ***attached*** draft Preconstruction Agenda for your use.

      The purpose of the preconstruction meeting is to discuss the construction, site logistics, schedule, inspection process and requirements in detail with the owner, engineer, general contractor and the staff inspectors. The Design Engineer of Record/Project Manager shall coordinate, moderate and prepare the agenda and minutes of the preconstruction meeting.

   b. Copies of permits/approvals from the WI DOT for any work within the STH 31 right-of-way, if applicable.

   c. Erosion Control Permit application including the WI DNR NOI.

   d. Village Work in the right-of-way permit.

Note: Permit applications can be filed online through the Village's online portal. Appling online will also allow the applicant to pay the required permit fees and schedule

inspections online. The Village's Permit Portal can be found on the Village's website at www.pleasantprairiewi.gov under the tab "*How Do I*", then select "*Apply For*" then select "*Permit Applications*".

11. **THE VILLAGE STAFF WILL CONTACT THE ENGINEER OF RECORD/PROJECT MANAGER TO SCHEDULE THE PRECONSTRUCTION MEETING WHEN ALL DOCUMENTS/PERMITS REQUIRED TO BE SUBMITTED ARE OBTAINED.**

12. **Following the preconstruction meeting the required permit fees shall be paid and permits obtained from the Village and construction may commence.**

If you have any questions, do not hesitate to contact Peggy Herrick, Assistant Community Development Director, directly at the Village Municipal Building at (262) 925-6716.

Sincerely,

Rob Hanson
Community Development Director

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